



FREE
VERSION

TRENDS, INSIGHTS, AND
PROJECTIONS TOWARD 2020



2017 GLOBAL **GAMES** MARKET REPORT

newzoo



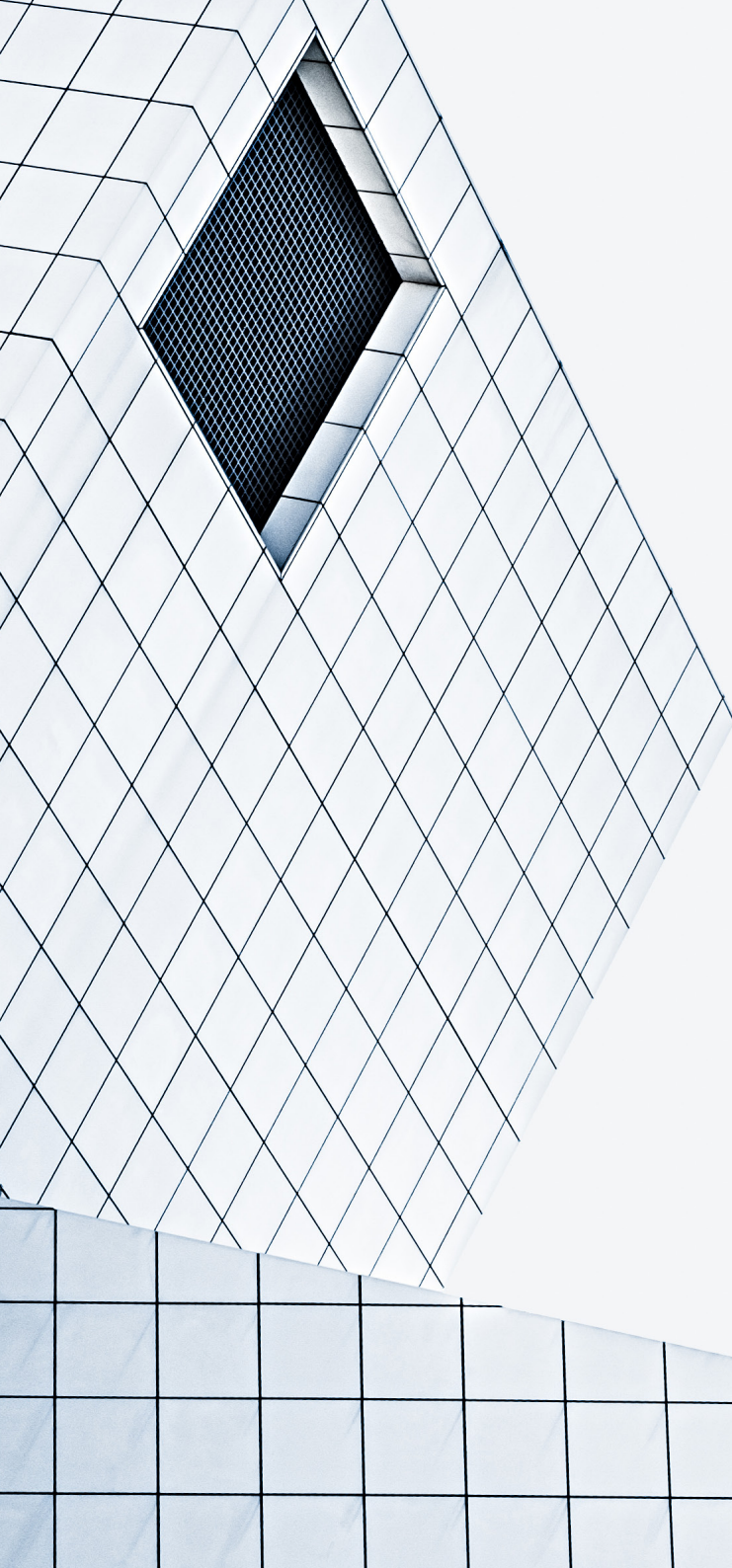


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FOREWORD

NEWZOO'S 2017 GLOBAL GAMES MARKET REPORT

This year is a landmark in the history of the games market, with revenues exceeding the \$100 billion mark to total \$109 billion. Five years ago, when Newzoo launched its first Global Games Market Report, global revenues amounted to approximately \$70 billion. A growth of 56% in five years illustrates how game companies have not only pioneered new ways of engaging and entertaining consumers, but have also led the way in innovating business models to suit the digital age. The future outlook for games has never been better but requires a new way of looking at the market. Most games now provide consumers with entertainment on three different levels: playing, viewing, and creating. Game companies are quickly evolving into all-round entertainment companies, pushing engagement time up dramatically and securing gaming's position as the world's favorite pastime. Traditional boundaries between games, media, telecom, and sports industries are disappearing and sparking new partnerships and M&A activity across the globe.

NEWZOO'S EXPANDING DATA WAREHOUSE

Newzoo's Global Games Market Reports and the data accessible in our online dashboard are powered by our proprietary Global Games Market Forecast Model. This predictive analytics model combines insights and data feeds from an ever-increasing number of sources, including:

- Continuous game behavior tracking of 10 million PC gamers across 40 countries.
- Device usage data from more than a billion mobile devices worldwide, including China.
- Android and iOS monetization metrics based on tracking of 30+ million mobile gamers.
- iOS and Google Play app store revenue and download data on 50+ countries.
- Primary consumer research and trend data in 28 countries involving more than 80,000 invite-only respondents.
- Quarterly game revenue data from more than 100 public and non-public companies.
- Continuous tracking of viewer data from streaming platforms. More than 100 local, regional, and global games-related reports published by third parties.
- More than 50 (socio-)economic KPIs for the 130 top countries in the world by population.

"The phase that the games market is now entering is redefining how we talk about our industry, audience, and future. From an industry perspective, the terms 'game developer' and 'publisher' no longer fit with the games-as-a-service model and the broadening of games as a business. From a consumer perspective, we need to replace 'gamers' with 'game enthusiasts', as a large part of the fast-growing viewing audience does not play the games it watches. Consumers who no longer have time to play and master games now stay engaged as viewers through esports. Games would not be games if we would not face another year of innovative change."

PETER WARMAN

Newzoo CEO & Co-founder





1.

KEY
GLOBAL
TRENDS

OVERALL MARKET TRENDS

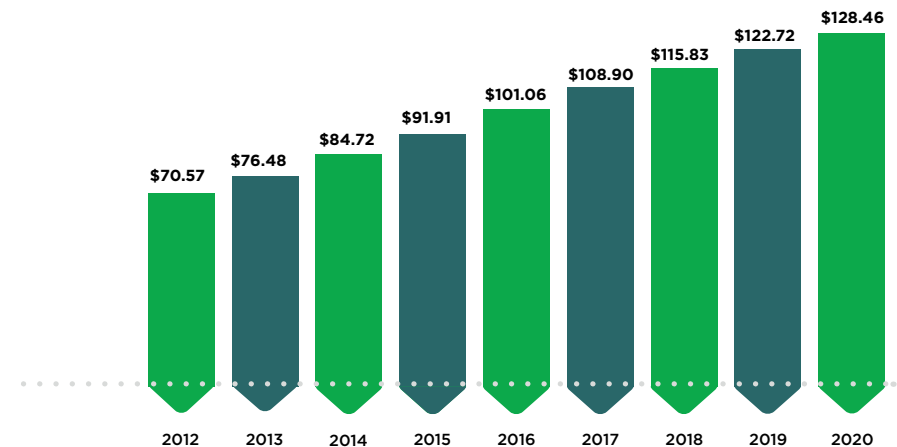
1. WITH MORE TIME SPENT ON GAMES, MONEY FOLLOWS.
2. A COMMUNITY-CENTRIC APPROACH IS KEY TO SUSTAINABLE SUCCESS.
3. **GAMES ARE RAPIDLY BECOMING THE WORLD'S FAVORITE PASTIME.**

GAMES ARE RAPIDLY BECOMING THE WORLD'S FAVORITE PASTIME.

Consumers are spending more time than ever on games, and this is especially true for the millennial generation. The reason for this is that games now cater to a much wider variety of interests. This includes lean-forward (gaming intensely or casually), lean-back (viewing content created by peers or provided by the professional gaming scene), creating unique content and sharing (on-demand and live streaming). Viewing professional or amateur game video content is bringing back millions of lapsed gamers who no longer have the time to play but whose passion is reignited by viewing other players and worldwide championships. The term “gamers” is becoming increasingly obsolete, as it fails to capture the variety of ways that games entertain consumers. “Game enthusiasts” would be a more encapsulating term.

GLOBAL GAMES MARKET REVENUE DEVELOPMENT

2012-2020



OVERALL INDUSTRY TRENDS

1. THE INDUSTRY IS REACHING A TIPPING POINT MOVING FROM PRODUCTS TO SERVICES.
2. **GAME COMPANIES ARE BECOMING GLOBAL ENTERTAINMENT COMPANIES.**
3. GLOBAL CONSOLIDATION MOVES TO THE NEXT LEVEL.

GAME COMPANIES ARE BECOMING GLOBAL ENTERTAINMENT COMPANIES.

As game IP turns increasingly into entertainment franchises, game companies are rethinking their strategic position in the broader entertainment industry. Game companies are the champions of interactive entertainment and are outstanding at stimulating social, creative, and sharing behavior. They also rely almost entirely on direct consumer spending, as opposed to the advertising-based model of many digital or broadcast media companies. At the same time, the number of hours spent watching non-interactive (video) content around game franchises has exploded and is no longer seen as free marketing but as a serious new business opportunity. As traditional media struggle to offer an interactive component around their content, game companies are quickly learning how to monetize video content and its millions of viewers. This could ultimately lead to a media landscape in which game companies hold a key position, as they master both skills. The biggest game companies already entertain a far greater audience than most of world's biggest traditional media and entertainment companies.

TRENDS BY SEGMENT & REGION

MOBILE GAMING: FROM EXPLOSIVE TO STABLE GROWTH

1. THE LONG LIFESPAN OF MOBILE GAMES PROVES SKEPTICS WRONG.
2. **SMARTPHONES ARE SET FOR A NEW WAVE OF INNOVATION.**
3. THE RISE OF THE (MINI-)GAMES AND ALTERNATIVE DISTRIBUTION.

SMARTPHONES ARE SET FOR A NEW WAVE OF INNOVATION.

It has now been exactly ten years since the iPhone was introduced. Looking back, it is still remarkable how many step-change innovations were brought together in this new device in terms of user experience, software, screen technology, and hardware. It has taken years for other manufacturers to catch up and many still consider Apple's iPhones to be the best. However, sales of new devices have slumped recently as the lifespan of high-end devices has increased enormously and the rate of innovation has slowed. The market is now set for a new wave of innovation that will offer new possibilities for developers of games and apps alike and boost the replacement cycle. Crucial developments on the horizon include flexible screens, better battery technology, and the integration of AR and VR into the DNA of smartphones.



TRENDS BY SEGMENT & REGION

PC GAMING: LEADING, BUT COMPETITION IS INCREASING

1. PC GAMING LEADS A MEDIA REVOLUTION.
2. **THE CHINESE APPETITE FOR TOP WESTERN PC GAMES HOLDS THE KEY TO NEW TRULY GLOBAL FRANCHISES.**
3. MOBILE FINALLY TAKES A BITE OUT OF PC GAMING REVENUES.

THE CHINESE APPETITE FOR TOP WESTERN PC GAMES HOLDS THE KEY TO NEW TRULY GLOBAL FRANCHISES.

Chinese gamers remain very interested in the top Western PC franchises, even though the majority of the most popular games is home grown. With Tencent opening the door for games such as Rocket League and Overwatch, the success of Western IP in China will lead to new truly global franchises.

CONSOLE GAMING: PLAYING CATCH-UP

1. THE LAST TRADITIONALISTS ARE NOW ON BOARD WITH DIGITAL.
2. **COMPETITIVE GAMES THE NORM; SAY GOODBYE TO SINGLE PLAYER.**
3. NOT ALL LEGACY FRANCHISES WILL MAKE IT THROUGH THE CHANGE.

COMPETITIVE GAMES THE NORM; SAY GOODBYE TO SINGLE PLAYER.

As competitive games become increasingly popular on console, publishers are starting to adjust their business models accordingly. Free-to-play multiplayer games are on the rise on consoles, and running games as a service is spreading. Single-player titles, such as Metal Gear Solid V, are on the way out.

CHINA: IN THE LEAD IN MANY WAYS

1. **A RENEWED ATTEMPT FOR CHINESE CONTENT IN THE WEST.**
2. CHINA OPENS SOME DOORS, CLOSSES OTHERS.
3. THE GROWING GLOBAL INFLUENCE OF THE CHINESE GAMES MARKET.

A RENEWED ATTEMPT FOR CHINESE CONTENT IN THE WEST.

The global games market is increasingly aligned in terms of business models, platforms, franchises, and companies. It has given Chinese game companies new confidence to export their successful games to the West. Initial efforts that started five years ago failed and Chinese companies quickly took an alternative route: investments and acquisitions. This year, we expect to see new attempts by Chinese game giants to launch games into Western markets.



2.

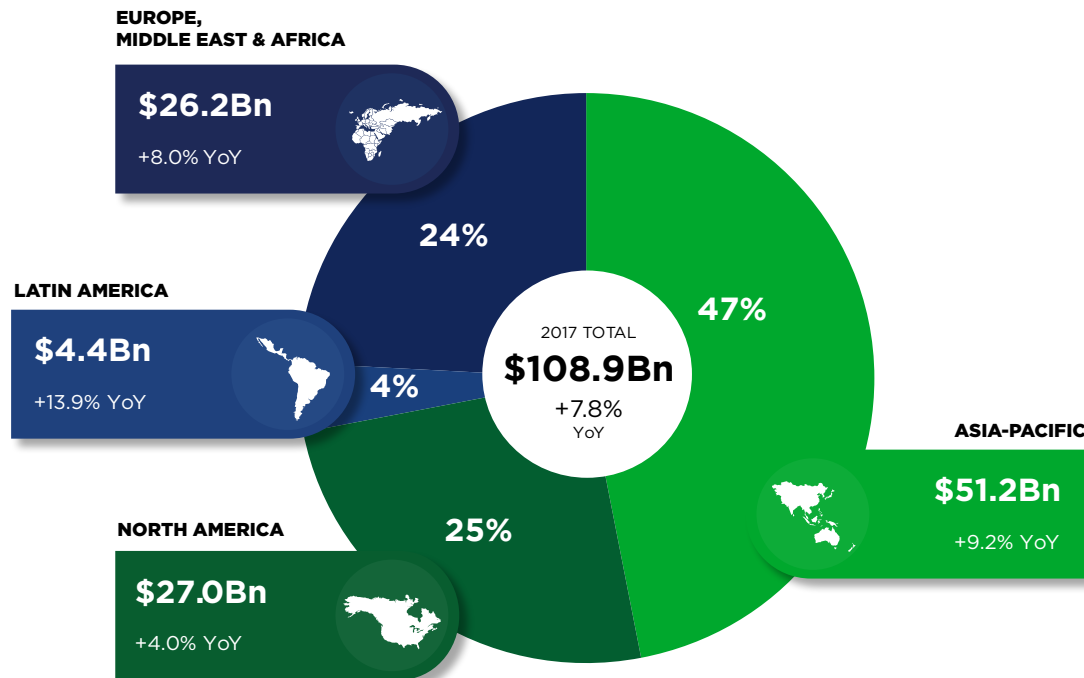
THE
GLOBAL
GAMES
MARKET



GLOBAL GAMES MARKET 2017

PER REGION

THE GLOBAL GAMES MARKET PER REGION



The Asia-Pacific region will generate \$51.2 billion this year, or 47% of total global game revenues. This growth represents a 9.2% year-on-year increase. Overall, the share of total revenues claimed by each region has remained almost unchanged since 2016. North America is the second-largest region, taking a 25% share of the market.

Total revenues in North America will increase year on year by 4.0% to reach \$27.0 billion. Most of this growth will come from smartphone gaming, a mature market but certainly not saturated. We see the same trend in EMEA, which will reach \$26.2 billion in 2017. Latin America will grow to \$4.4 billion in game revenues this year. The fastest-growing region in the coming years will be Rest of Asia (without China, Japan, and Korea), with game revenues growing to \$10.5 billion in 2020, up from \$4.5 billion in 2016. The Latin American market will also continue its healthy growth and reach \$6.3 billion by 2020.

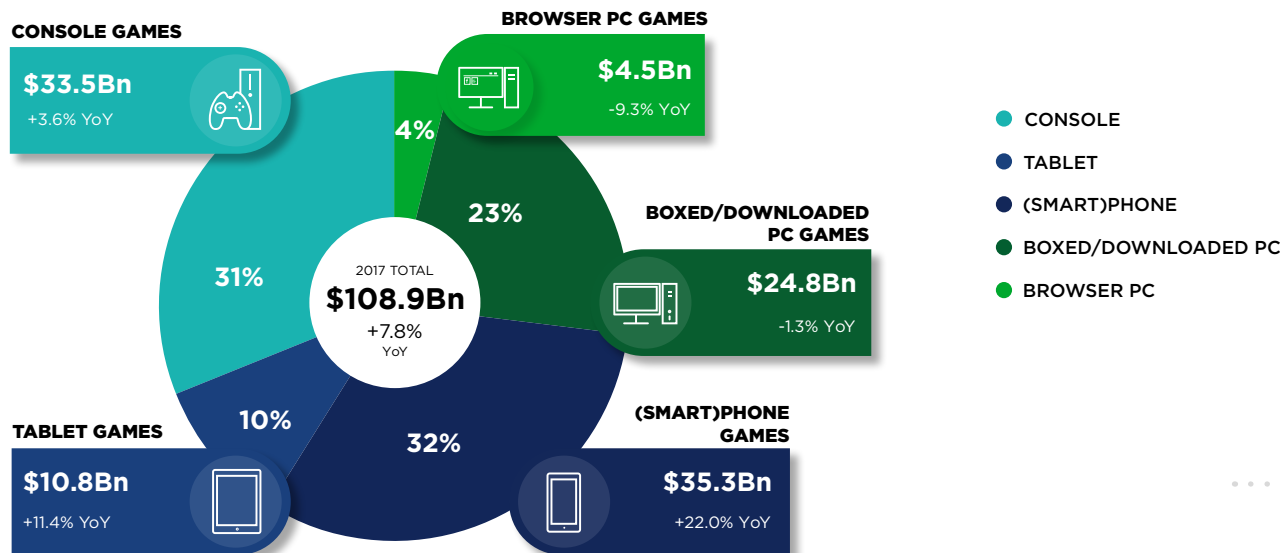


GLOBAL GAMES MARKET 2017

PER SEGMENT

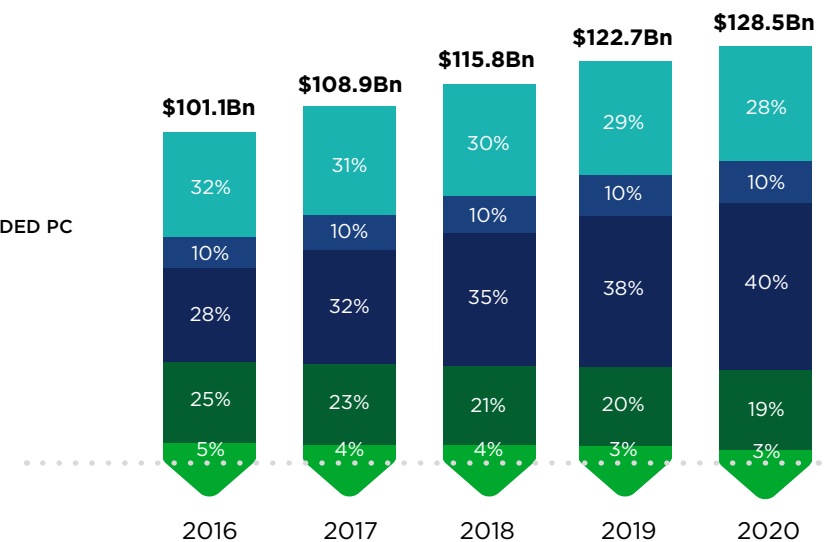
THE GLOBAL GAMES

MARKET PER SEGMENT



SEGMENT BREAKDOWN OF GLOBAL GAMES REVENUES

TOWARD 2020



Mobile gaming (smartphone and tablet) is the largest segment in 2017, accounting for 42% of the total global market. The segment also has the most gamers with 2.1 billion, the majority of whom are gaming on smartphones. Console is the second-largest segment with revenues of \$33.5 billion 2017. PC browser game revenues will decrease by 9.3% to \$4.5 billion as gamers continue their transition to mobile. Revenues for boxed/downloaded PC games will also drop by 1.3% to \$24.6 billion.

PC revenues of public companies decreased in both Western and Asian markets last year, while emerging markets had single-digit growth rates. We now forecast boxed/downloaded PC games to reach \$24.4 billion in 2020, a significant downward revision of our previous estimate. Mobile will remain the largest segment, growing with a CAGR (2016-2020) of 13.9% to claim 50% of the market by 2020.





3.

REGIONAL
OVERVIEW

TOP 20 COUNTRIES

BY GAME REVENUES IN 2017

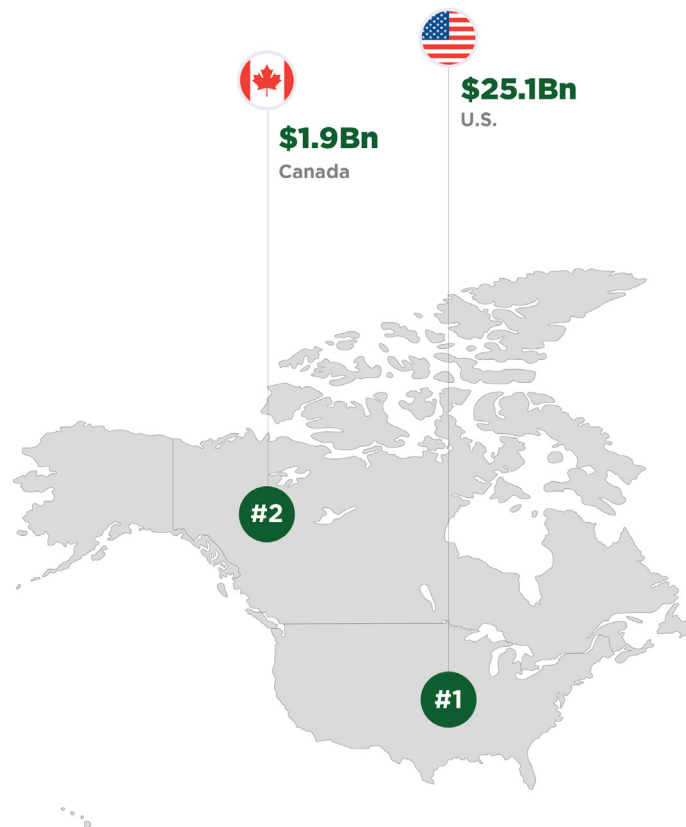
RANK	COUNTRY	POP. (M)	ONLINE POP. (M)	TOTAL REVENUES (\$M)
1	CHINA	1,388	802	\$27,547
2	UNITED STATES OF AMERICA	326	261	\$25,060
3	JAPAN	126	120	\$12,546
4	GERMANY	81	73	\$4,378
5	UNITED KINGDOM	66	62	\$4,218
6	REPUBLIC OF KOREA	51	47	\$4,188
7	FRANCE	65	57	\$2,967
8	CANADA	37	33	\$1,947
9	SPAIN	46	38	\$1,913
10	ITALY	60	43	\$1,875
11	RUSSIAN FEDERATION	143	113	\$1,485
12	MEXICO	130	84	\$1,428
13	BRAZIL	211	140	\$1,334
14	AUSTRALIA	25	22	\$1,234
15	TAIWAN	23	21	\$1,029
16	INDONESIA	264	72	\$880
17	INDIA	1,343	429	\$818
18	TURKEY	80	49	\$774
19	SAUDI ARABIA	33	25	\$651
20	THAILAND	68	32	\$597



NAM

2017^E GAME REVENUES

TOP COUNTRIES BASED ON GAME REVENUES



24.8%



Share of 2017
Global Revenues



363,100,000
Population



294,631,000
Online Population



180,481,000
Gamers



LATAM

2017^E GAME REVENUES

TOP COUNTRIES BASED ON GAME REVENUES



4.1%



Share of 2017
Global Revenues



646,108,000
Population



397,012,000
Online Population



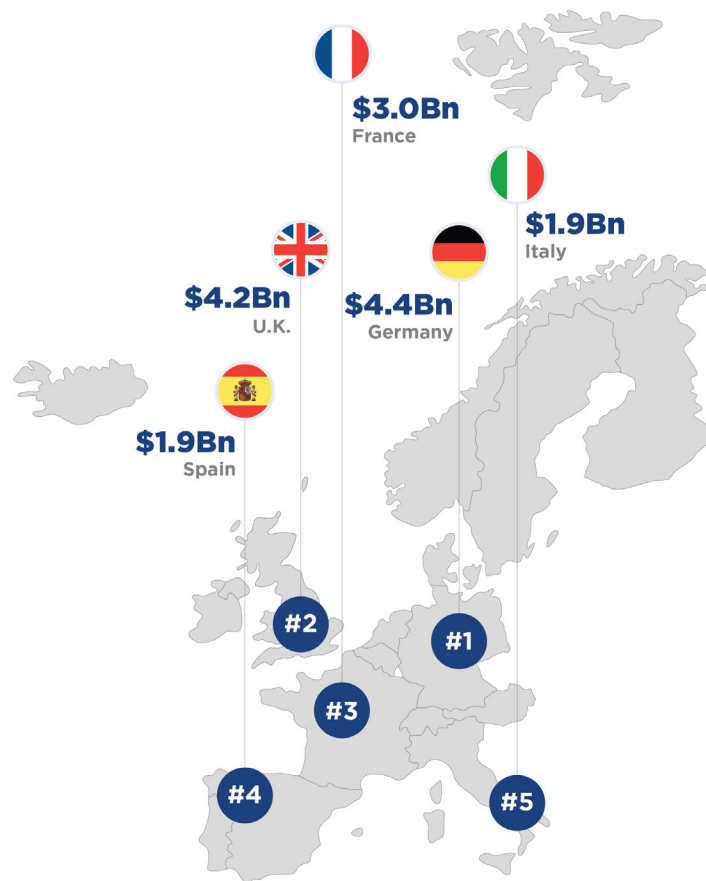
205,679,000
Gamers



W-EU

2017^E GAME REVENUES

TOP COUNTRIES BASED ON GAME REVENUES



17.3%



Share of 2017
Global Revenues



405,511,000
Population



353,571,000
Online Population



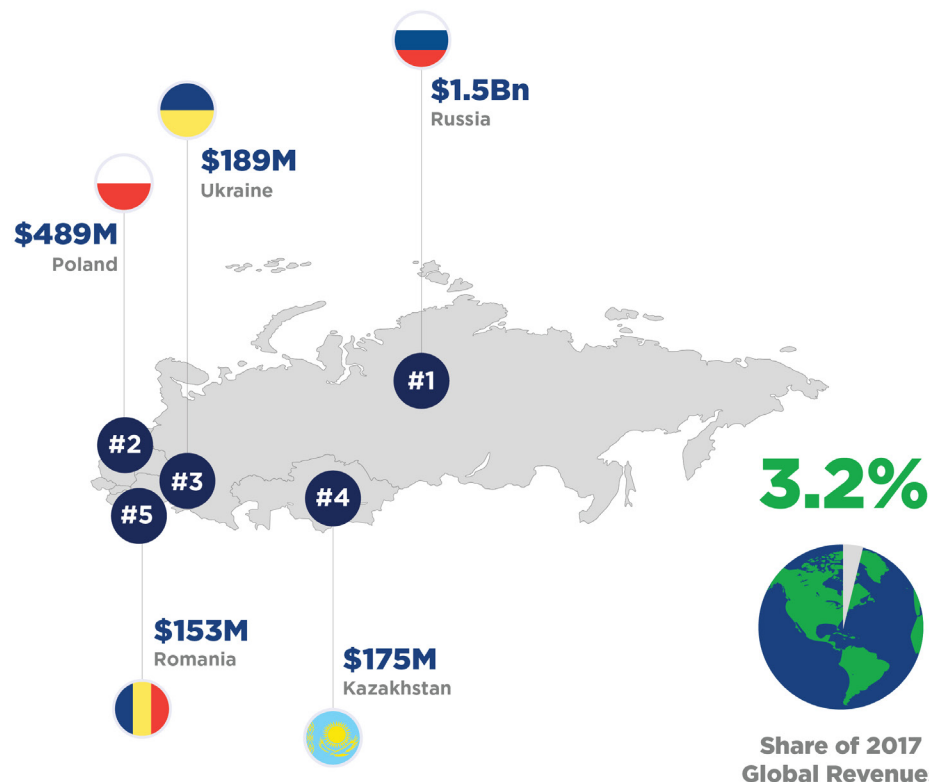
187,844,000
Gamers



E-EU

2017^E GAME REVENUES

TOP COUNTRIES BASED ON GAME REVENUES



352,612,000
Population



260,212,000
Online Population



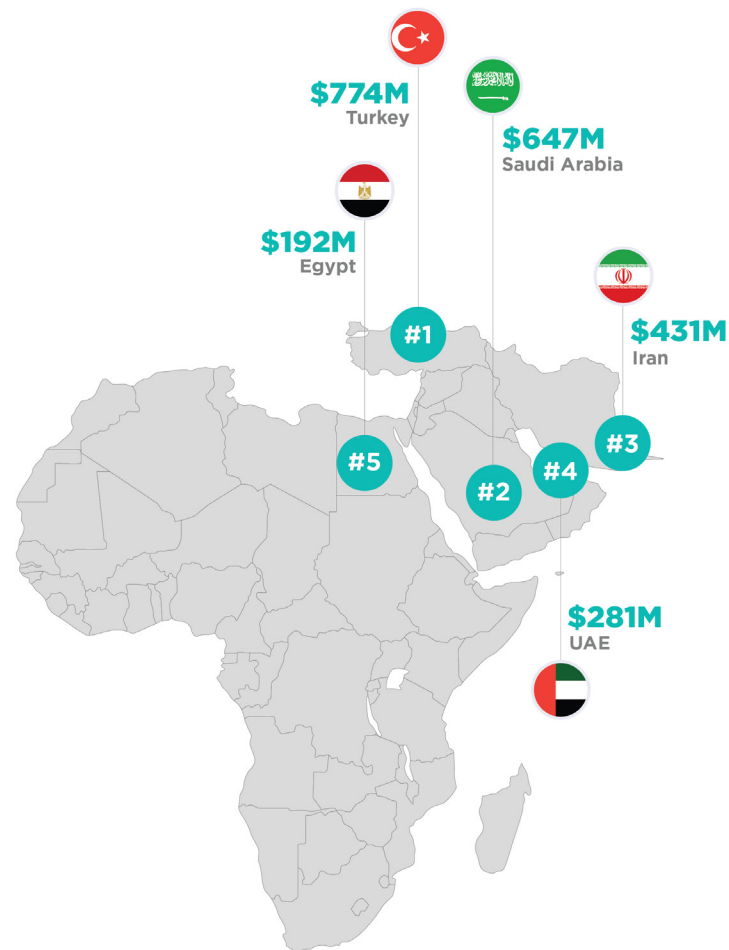
155,064,000
Gamers



MEA

2017^E GAME REVENUES

TOP COUNTRIES BASED ON GAME REVENUES



3.6%



Share of 2017
Global Revenues



1,662,960,000
Population



585,224,000
Online Population



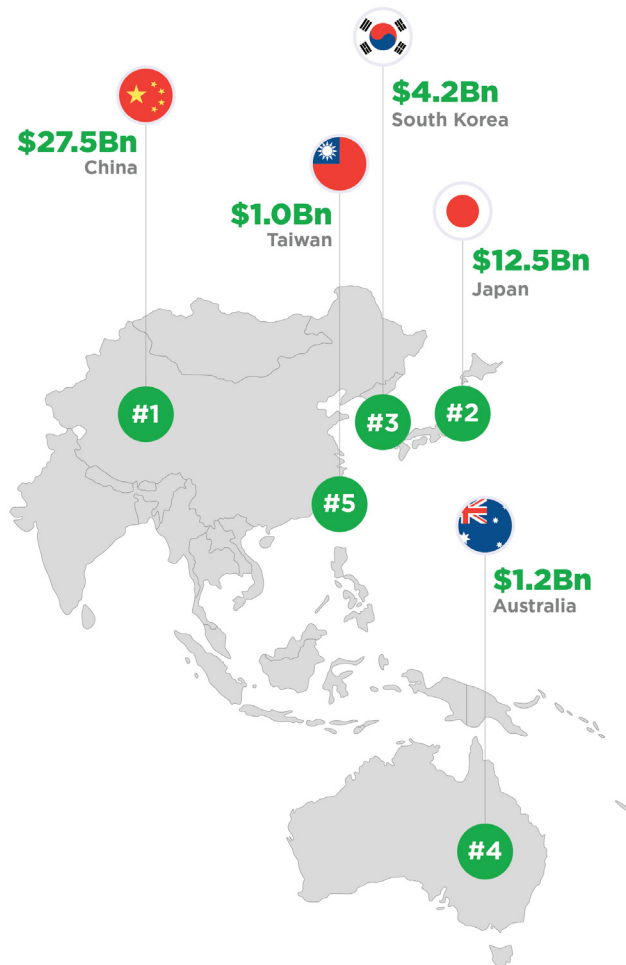
336,281,000
Gamers



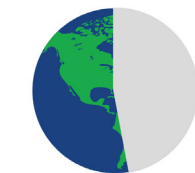
APAC

2017^E GAME REVENUES

TOP COUNTRIES BASED ON GAME REVENUES



47.1%



Share of 2017
Global Revenues



4,043,092,000
Population



1,804,673,000
Online Population



1,145,073,000
Gamers



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THE INDUSTRY STANDARD FOR UNDERSTANDING AND SIZING THE GLOBAL GAMES MARKET



Trends, revenue, and gamer forecasts per segment, consumer insights, globally, regionally, and per country.

REPORT CONTENT SUMMARY

The report comprises of 110 pages of text, tables, and graphs on a global, regional, and country scale.

GLOBAL GAMES MARKET

Revenues per region and segment | 2015-2020
Gamers per region and segment | 2015-2020
Digital vs. boxed revenue breakdown
Revenue share per genre | mobile, PC, and console

KEY GLOBAL TRENDS PER SEGMENT

RANKINGS

Top 35 Public Game Companies by Game Revenues
Top 50 countries by Game Revenues

REGIONAL MARKET OVERVIEW

Revenues per segment | 2015-2020
Gamers per segment | 2015-2020

COUNTRY MARKET OVERVIEW

Revenues per segment | 2015-2020
Gamers per segment | 2015-2020
Demographics of gamers per segment

SPECIAL FOCUS TOPICS:

PC hardware, esports franchises, mobile device specs

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ABOUT NEWZOO

GLOBAL LEADER IN GAMES, ESPORTS, AND MOBILE INTELLIGENCE

OUR MISSION

The current pace of change in consumer behavior, media, and technology requires a new type of intelligence firm that is agile, innovative, truly global, and ahead of the curve. We are that firm. As the number one provider of games, esports, and mobile intelligence in the world, we support our global clients daily in growing their businesses.

OUR EXPERTISE



MARKET FORECASTS

Our landmark reports. In-depth market forecasts and trends ensure you never miss an opportunity. Includes quarterly updates and access to our forecast dashboards.



TRACKING DATA

Metrics that come straight from the source. Track your market, optimize marketing, and product development while keeping an eye out for blue-ocean opportunities.



CONSUMER INSIGHTS

Understand your most valued consumers' drivers, attitudes, and behavior. Segment your audience across 28 countries using more than 200 variables.

OUR SOLUTIONS



MARKET VS. BUSINESS INTELLIGENCE: BRIDGING THE GAP

Newzoo now offers the majority of its market intelligence services in Tableau, enabling clients integration with their business intelligence.

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